RESERVE BANK OF MALAWI

REMARKS

BY

Dr. WILSON T. BANDA

GOVERNOR, RESERVE BANK OF MALAWI

AT THE LAUNCH OF SENSITISATION CAMPAIGNS ON THE BUSINESS LICENSING REGULATIONS, 2019

BINGU INTERNATIONAL CONFERENCE CENTRE

LILONGWE

16TH OCTOBER 2022

The Principal Secretary, Ministry of Trade

The Chief Executive Officer, Bankers Association of Malawi

Chief Executive Officers from commercial banks and mobile money operators

Delegates from the Micro, Small and Medium Enterprises

Distinguished Guests

Ladies and Gentlemen,

It gives me great pleasure to be amongst you at this very important occasion where we are launching the sensitisation campaign on Business Licensing Regulation which is commonly known as Deployment and Usage of Electronic Payment Channels Regulations which came into effect in 2019.

The Reserve Bank of Malawi is very pleased to be part of this initiative together with Government and key stakeholders in the private sector. For starters, the Regulations were prepared through an extensive consultative process involving key stakeholders in the payments industry. These include, among others, Government through the Ministry of Trade, Malawi Revenue Authority, Malawi Communications Regulatory Authority and the Consumers Association of Malawi.

Distinguished Guests, Ladies and Gentlemen,

The importance of this event cannot be over emphasised. Malawi has managed to put in place a modern digital financial services infrastructure comparable in many countries. From the Reserve Bank side, we managed to implement an Automated Transfer System and a Central Securities Depository through which commercial banks and securities market players process their transactions digitally. The banking community in collaboration with the Reserve Bank rolled out the National Switch which enabled interoperability of all Automated Teller Machines (ATMs), Point of Sale (POS) devices and mobile money services in the country. Today, a consumer can access funds in his account from any nearest ATM or pay for goods and services using any POS irrespective of the bank one maintains an account with besides transferring funds across mobile networks in real time. In addition to the National Switch, banks continue to roll out various digital financial services coupled with those operated by Airtel Malawi and TNM Ltd. All these products and services, Distinguished Ladies and Gentlemen; are secure, fast and convenient. Gone are the days when people were restricted to transact during designated times in a day, we are proud that payment for goods and services can now be effected anytime and from anywhere which is good for economic development of our country. Of paramount importance is the ability of rural based people who were excluded from the formal financial services industry due to issues to do with proximity to bank branches with their attendant costs to access the same.

Distinguished Guests, Ladies and Gentlemen,

Not only has Malawi improved the payments infrastructure but also put in place an enabling legal and regulatory framework. The Reserve Bank remains committed to ensuring that Malawi's national payments system embraces responsible innovation while at the same time having the welfare of the consumer at heart. Following the conducive regulatory environment, we have seen an increase in the interest by many private sector players to participate in the national payments system. Besides banks and mobile money operators, the Reserve Bank has granted provisional licenses to a number of Fintechs, some of which you have seen them here at this function, to test their products on the market after which full licenses will be issued depending on the results of the pilot exercises. We have opened up the digital financial services space to among others spur competition but above all, attain Malawi Government's financial inclusion objective.

Distinguished Guests, Ladies and Gentlemen

The modern payments infrastructure coupled with the enabling legal and regulatory framework we have put in place has incentivised not only operators of digital payment systems to roll out their products and services but also businesses and individuals to embracing digital financial services. As a result of this, we have seen a tremendous growth in both volume and value of electronic transactions over the period with a corresponding noticeable substitution effect on paper

based payment instruments. For instance, we have witnessed a 38 percent decrease in the volume of cheques from 2015 to 2021 and this trend is expected to continue following implementation of the electronic funds transfer (EFT) by Government in September 2021. With this development, we now stand on a sound ground to phase out cheques from the national payments system due to risks associated with them. Retail payments streams have also registered remarkable increases over the period, rising by 1,138.6 percent from 2015 to 2021 while the number of mobile money subscribers and agents rose by 368.9 percent and 564.9 percent respectively. We have also noted with interest developments that have taken place during the past three years. There has been an increase in the total volume of DFS transactions processed during the period compared to cash withdrawals, which is a welcome development as it points out that more people are embracing digital payment services. For instance, out of the payments made during the second quarter of 2022 (K5.7 trillion excluding RTGS and Cheque transactions), 87.6 per cent of the transactions were through digital channels, and cash withdrawals constituted 12.4 per cent. However, the level of cash withdrawals is still on the higher side (if we include all unrecorded cash transactions), which buttresses the fact that our economy is predominantly cash-based and that there are still more deliberate efforts to be made to migrate the majority of these payments into digital platforms

Distinguished Guests, Ladies and Gentlemen

Despite the success stories I have cited, there are also challenges the country is facing in the digital financial services arena. These include, among others; cybersecurity concerns, high user fees and network as well as power disruptions. The Reserve Bank continues to work with various stakeholders to resolve some of these challenges. Of particular concern is the unwarranted unwillingness by some business operators to accommodate their clients who want to transact digitally. There have been many reported cases where, for unknown reasons, some business operators turn away customers who want to pay electronically while others "hide" under the pretext that the digital financial services channels are malfunctioning, thereby "forcing" a customer to resort to cash which is a huge inconvenience. This trend became worrisome during the time Covid-19 pandemic was at the peak. These Regulations are therefore means to increase convenience to customers that are willing to transact digitally while at the same time helping the general public reduce cash handling in disaster situations like the Covid-19 pandemic.

Distinguished Guests, Ladies and Gentlemen

I will be failing in my duties if I do not recognise the contribution to our financial inclusion drive by the Alliance for Financial Inclusion (AFI). You may wish to know that AFI is a member-owned, world's leading organisation on financial inclusion policy and regulation. Over the period, the Reserve Bank has benefited from AFI in a number of areas including, among others, grants in financial inclusion policy

formulation and execution, capacity building and lately, grant on scaling up and regulation of digital financial services in the wake of Covid-19 pandemic which is the reason we have gathered today. This initiative, Distinguished Guests, Ladies and Gentlemen, which we are launching today, will run for a period of six months to January 2023. I am sure that by now you must have seen or heard sensitisation messages on various print and electronic media regarding digital financial services as well the Regulations and as already indicated, will be carried out up to January next year. This will be coupled with a number of activities like road shows and engagements with the youth in tertiary education institutions besides the micro, small and medium enterprises who are the key customer facing points in digital financial services.

Lastly, **Distinguished Guests, Ladies and Gentlemen**, let me take this opportunity to thank our development partners mainly the World Bank for assisting Malawi in improving her national payments infrastructure through the Financial Sector Technical Assistance Project (FSTAP) and also under the Financial Inclusion and Entrepreneurial Scaling (FInES) as well as all domestic payment systems stakeholders for your continued cooperation in our efforts in delivering digital financial services to the nation as well as for sparing your time and resources to join us at this auspicious occasion. I say thank you all.

With these few remarks, I declare the sensitisation campaign on Scaling up and Regulation of Digital Financial Services officially opened.

Thank you for your attention and God bless.